REPORT SUBMITTED

TO

Punyashlok Ahilyadevi Holkar

Solapur University, Solapur

IN PARTIAL FULFILLMENT OF THE

REQUIREMENT OF

**MASTER OF BUSINESS ADMINISTRATION**

**(M.B.A.)**

**TITLE**

# A Study on Analysis of Working Capital Management at Mahavir Urban Cooperative Bank Ltd, Solapur

**BY**

**Saggam Pravinkumar Murlidhar**

**THROUGH**

THE PRINCIPAL,

HIRACHAND NEMCHAND COLLEGE OF COMMERCE,

(Autonomous), SOLAPUR

2024-2026

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**PRINCIPAL**

# *CERTIFICATE*

*This is to certify that work on the Project Report titled "**A Study on Analysis of Working Capital Management at Mahavir Urban Cooperative Bank Ltd, Solapur**" submitted by **Saggam Pravinkumar Murlidhar** in partial fulfillment of the requirement for the award of **Masters Degree in Business Administration (M.B.A.)** to Punyashlok Ahilyadevi Holkar Solapur University, Solapur has been carried out under my guidance.*

*To the best of my knowledge and belief the matter presented in this report has not been submitted earlier.*

*Signature of the Guide*

*Date:* *Name: Mrs. Kiran Gaikwad*

*To,*

*The Principal*

*H. N. College Of Commerce*
*Solapur.*

*Dear Sir,*

*I, the undersigned, hereby declare that the Project titled* ***"A Study on Analysis of Working Capital Management at Mahavir Urban Cooperative Bank Ltd, Solapur"*** *written and submitted under the guidance of* ***Mrs. Kiran Gaikwad*** *is my original work. The empirical findings in this report are based on the data collected by myself. While preparing this report, I have not copied from any other report.*

*I understand that any such copying is liable to be punished in a way the university authorities may deem fit.*

*Signature of the Student*

*Date:* *Name :Saggam Pravinkumar Murlidhar*

# ACKNOWLEDGEMENT

I take this opportunity to express my sincere gratitude to all those who have contributed to the successful completion of this project titled **"A Study on Analysis of Working Capital at Mahavir Urban Cooperative Bank Ltd, Solapur."**

It gives me great pleasure to thank all those who have helped in this project titled "**A Study on Analysis of Working Capital at Mahavir Urban Cooperative Bank Ltd, Solapur** I would like to thank our Honorable **Principal Dr. S.K. Shah, Head of Department Dr. Pritam Kothari and my Guide Mrs. Kiran Gaikwad** for giving me an opportunity to do this project work.

I have always received the valuable guidance, inspiration and corrective criticism from my project guide **Mrs. Kiran Gaikwad** under whose guidance I completed my project successfully and without help it would have been very difficult for me to complete my project. I am very grateful to her for the help and guidance provided during my study on the analysis of working capital at Mahavir Urban Cooperative Bank Ltd.

It is pleasure to acknowledge to all those who have directly and indirectly helped me in completion of this project report.

**Saggam Pravinkumar Murlidhar**

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# CHAPTER 1

# INTODUCTION OF THE STUDY

## 1.1 INTRODUCTION

A bank is a financial institution licensed to receive deposits and provide loans and other financial services to individuals and businesses. Banks play a crucial role in the economy by facilitating the flow of money and capital, thereby supporting economic activities and growth.

It is a fundamental pillar of the financial system by providing a comprehensive range of services essential for individuals, businesses, and governments alike. Primarily, banks accept deposits from customers, offering secure storage and interest-earning opportunities through savings accounts, current accounts, and fixed deposits.

Concurrently, banks play a pivotal role in providing credit facilities, including loans, mortgages, and credit cards, thereby enabling borrowers to finance various endeavors and investments.

Facilitating seamless transactions is another crucial function, where banks manage and execute payments through electronic transfers, wire transfers, and online banking platforms, ensuring efficient fund transfers across borders and between accounts. Furthermore, banks offer investment services, such as mutual funds, stocks, and bonds, catering to customers' wealth management and financial planning needs.

Mahavir Cooperative Bank, established with a vision to serve the community through ethical banking practices, has emerged as a prominent institution in the cooperative banking sector. Founded on principles of financial inclusion and customer-centric service, the bank has built a strong reputation for reliability and trustworthiness among its clientele.

Operating within the cooperative banking framework, Mahavir Cooperative Bank focuses on providing a wide range of banking services tailored to meet the diverse needs of its customers. These services include savings accounts, current

accounts, loans, investment products, and financial advisory services, all designed to foster economic growth and prosperity within its community.

The bank distinguishes itself through its commitment to prudent financial management, leveraging technology to enhance operational efficiency while maintaining a personalized approach to customer service. With a network of branches strategically located to cater to both urban and rural populations, Mahavir Cooperative Bank continues to expand its footprint while upholding its core values of integrity, transparency, and social responsibility.

Innovation and adaptability are integral to the bank's ethos, as evidenced by its adoption of modern banking practices and continuous improvement in service delivery.

## Background of the study: -

Working capital indicates the liquidity level of business for managing day-to-day expenses and covers inventory, cash, account payable, accounts receivable and short- terms debt it is an indicator of the short-terms financial position of an organization and is also a measure of its overall efficiency.

In short, working capital is the money available to meet your, current short- term obligation. To make sure your working capital works for you, you'll need to calculate your current levels, project your future needs and consider ways to make sure you always have enough cash. Gross working capital: It refers to the sum invested in the current assets of the business-like cash, Account Receivable, inventory, marketable securities and short-term securities. Net-Working Capital: It indicates the surplus-value of the current asset after deducting it from current liabilities.

## Why Is Working Capital Important?

Working capital is used to fund operations and meet short-term obligations. If a company has enough working capital, it can continue to pay its employees and suppliers and meet other obligations, such as interest payments and taxes, even if it runs into cash flow challenges.

The efficient management of working capital is crucial for the sustained financial health and operational continuity of any organization, particularly in the banking sector. Mahavir Cooperative Bank, recognized for its steadfast commitment to service excellence and community-oriented banking, stands as a prominent player in the cooperative banking domain. This project report aims to delve into the intricacies of Mahavir Cooperative Bank's working capital management practices.

Working capital, defined as the difference between current assets and current liabilities, forms the lifeblood of daily operations in a bank, facilitating liquidity and ensuring smooth business operations. For Mahavir Cooperative Bank, effectively managing working capital not only sustains day-to-day operations but also supports its strategic objectives of growth, profitability, and customer satisfaction.

Through this study, we seek to explore how Mahavir Cooperative Bank optimizes its working capital components, such as cash, accounts receivable, and inventory, to maintain financial stability and enhance operational efficiency. Additionally, the report will analyze the bank's policies, procedures, and strategies adopted to manage working capital in a competitive banking environment.

Understanding the dynamics of working capital management in Mahavir Cooperative Bank is essential to make strategic decision-making and contribute to the sustainable growth of the banking institution. By examining these aspects comprehensively, this report aims to provide valuable insights into the workings of Mahavir Cooperative Bank's financial management practices and their implications for the broader banking sector.

## 1.2 OBJECTIVES

1. To analyze the concept of working capital and its components.

2. To Assess the components of working capital within Mahavir Cooperative Bank.

3. To Analyze the effectiveness of liquidity management strategies employed by the bank.

4. To Evaluate financial performance indicators related to working capital management.

5. To understand how to maintain adequate liquidity for meeting short-term obligations and withdrawals.

6. To understand how to manage the balance between assets and liabilities to reduce risks.

## 1.3 SCOPE AND LIMITATIONS

**SCOPE OF THE STUDY :**

1. This study aims to investigate the dynamics of working capital management at Mahavir Co-operative Bank, examining its financial strategies and operational efficiency in maintaining adequate liquidity and funding for day-to-day operations.

2. The scope encompasses an exploration of the bank's current working capital practices, focusing on the management of current assets and liabilities to assess their impact on profitability and liquidity.

3. Through a comprehensive review of literature on working capital management in the banking sector, this research seeks to identify best practices and benchmarks applicable to co-operative banks.

4. Methodologically, the study will employ a quantitative approach, utilizing financial ratios and statistical analysis to interpret data extracted from annual financial statements and other relevant documents.

5. The findings aim to provide insights into how Mahavir Co-operative Bank can optimize its working capital structure to enhance financial stability and support sustainable growth amidst evolving market conditions.

**LIMITATIONS OF THE STUDY :**

1. This study based mainly bank 3-year financial annual report.

2. This Study based on mainly Bank annual Report.

3. The study is limited only 30 days in Shri Mahavir Urban Co-operative Bank Ltd Solapur.

4. This study based on a single branch only. Shri Mahavir Urban Co-operative Bank Ltd Solapur

5. Availability and completeness of financial data from Mahavir Co-operative Bank's annual reports and other sources may vary, potentially limiting the depth and accuracy of analysis.

6. Generalizability of findings may be limited due to the specific regulatory and operational context of co-operative banks, which differs from commercial banks.

7. The study's timeframe and resources may restrict the ability to analyze long-term trends or external factors impacting working capital dynamics effectively.

8. Potential biases in data interpretation or analysis methodologies could influence the robustness and reliability of study conclusions.

# 1.4 RESEARCH METHODOLOGY

## Meaning of Research:

Before understanding Research Methodology, we should understand the meaning of research, Research in common parlance refers systematic search for knowledge. One can also define Research as a scientific and systematic search for pertinence information on a specific topic, research is an art of scientific investigation.

## Meaning of Research Methodology:

Research Methodology, it is a way to systematically solve the research problem. It may be understood as a science of the study how research is done scientifically. In it we study the various steps that are generally adopted by the researcher in studying his research problem along with the logic behind them. It is necessary for the researcher to know not only the research.

## Research Design:

Research design is the arrangement of activities for the collection and analysis of data in a manner that aims to combine relevance to the purpose with economy in procedure. It is an arrangement of plan, which guides the collection of data and analysis of data. The purpose of research design is to ensure that the data collected is accurate and relevant. Any research work requires clarity of objective to be achieved effectively research. For this study the design used was Descriptive Research.

## Types of Data:

There are basically two type of data i.e. primary data and secondary data. In this study secondary data was taken into consider to get relevant data needed.

**a) Primary Data:**

The primary data are those, which are collected fresh for the first time for the problem solution, and thus happen to be original in character, it may be obtained from individual, families and representative.

**b) Secondary Data:**

The secondary data are those which have already been collected by someone else and which have already been passed through the statistical process. For this study the secondary data is taken from reviews, corporate profiles, industry information found online, journals, websites.

## Data Collection Method:

Data collection method is done basically in three ways: Observation method, survey method and questionnaire.

## Data Collection:

This report is prepared based on information collected from Secondary sources.

## Secondary Data:

- Annual reports of Mahaveer Urban Co-operative Bank, Solapur.
- Working papers
- Office files.
- Several articles related on financial analysis.
- Selected books.
- Journals, bank records.

## Data Analysis Method:

Qualitative and Quantitative both research is conducted to analysis the primary and secondary data. The data are presented in this report by using Microsoft Word and Microsoft Excel.

## 1.5 SIGNIFICANCE OF THE STUDY

This study holds significant importance for Mahavir Co-operative Bank as it aims to delve into the intricacies of working capital management, a critical aspect of financial stability and operational efficiency in banking.

By examining the bank's current practices and strategies concerning working capital, the study seeks to provide actionable insights that can enhance liquidity management, optimize resource allocation, and improve overall financial performance.

These insights are essential for management decision-making, enabling them to implement effective measures that align with industry benchmarks and best practices. Moreover, the study contributes to the broader academic and professional discourse on banking operations, offering valuable knowledge for researchers, educators, and stakeholders interested in financial management practices of co-operative banks.

Beyond academic pursuits, the findings are expected to bolster stakeholder confidence, including investors and regulatory bodies, by showcasing the bank's commitment to sound financial governance and risk management.

Ultimately, the study aims to support Mahavir Co-operative Bank in its pursuit of sustainable growth, resilience amidst economic fluctuations, and adherence to regulatory requirements, thereby fostering long-term success and competitiveness in the banking sector.

# CHAPTER 2

# COMPANY PROFILE

## 2.1 INTODUCTION OF THE ORGANIZATION

Mahavir Co-operative Bank was established in [Year of Establishment] with a clear vision to serve the financial needs of individuals and businesses through cooperative banking principles. The bank was founded on the core values of mutual assistance, democratic governance, and shared success, aiming to provide a range of financial services that are both accessible and beneficial to its members and the broader community. Over the years, Mahavir Co-operative Bank has grown from a modest institution into a reputable financial entity, known for its commitment to fostering economic development and financial stability.

Mahavir Co-operative Bank offers a comprehensive suite of financial products and services to cater to the various needs of the customers. Different service portfolio includes:

- **Savings Accounts:** Offering competitive interest rates and convenient banking features to help customers manage their savings effectively.
- **Fixed Deposits**: Providing secure investment options with attractive returns for short-term and long-term financial goals.
- **Loans and Credit Facilities**: Offering personal loans, business loans, and other credit facilities with flexible terms and competitive rates to support our clients' financial needs.
- **Investment Services:** Providing investment options such as recurring deposits and fixed deposits to help customers grow their wealth.

Mahavir Co-operative Bank is not just a financial institution but also a vital part of the community. It dedicated to support local initiatives, fostering economic development, and contributing to the welfare of the community through various outreach programs and financial literacy workshops.

## 2.2 HISTORY OF THE ORGANIZATION

Shri Mahavir Urban Co-operative Bank Ltd. was established in 1997 with its address at 60/61, East Mangalwar Peth, Solapur 413002. Shri Mahavir Urban Co-operative Bank has developed a strong reputation for providing services to the common people over the years. The bank has experienced significant growth since its inception.

Given this growth, there is a need to review the role of these banks within the banking system and to ensure their future development. Moreover, certain problems have arisen in the context of the rapid growth of Shri Mahavir Urban Co-operative Bank, particularly concerning its registration number & date (SUR/BNK (0) 125, dated 8-7-1997) and its RBI licensing number & date (UBD/MAH/1480P, dated 4-10-1997).

In September 1997, the Governor constituted a committee to study various aspects of the workings of Shri Mahavir Urban Co-operative Bank and to make recommendations for its future viability.

Currently, there are a total of five branches, including the head office, located in Solapur and Barshi.

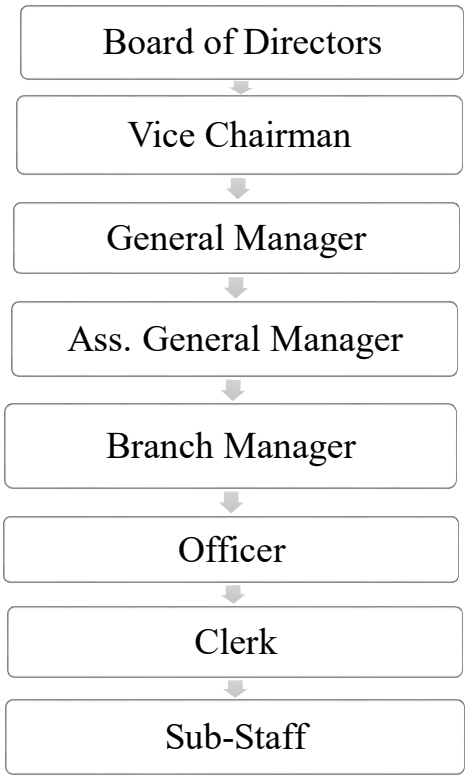
## 2.3 OWNERSHIP PATTERN

### Board of Directors:

| | |
|---|---|
| Shri. Dipak N. Munot | Chairman |
| Shri. Tilokchand S. Nimani | Vice Chairman |
| Shri. Sudhakar Burgul | Managing Director |
| Shri. Ravindra Gujirathi | Director |
| Shri. Narayan Ganji | Director |
| Shri. Jayany Kamble | Director |
| Shri. Girish Devramani | Director |
| Shri. Mahesh Jamadar | Director |
| Shri. Santosh Bandari | Director |
| Shri. Goutamchand Sancheti | Director |
| Shri. Sanjay Setiya | Director |
| Shri. Gangadhar Gumte | Director |
| Shri. Shrinivas Chilka | Director |
| Shri. Shamshundar Pawar | Director |
| Shri. Bhairulal Kotari | Director |
| Smt.Mangala Bandari | Director |

## Company Profile:

| | |
|---|---|
| **Registered Office & Corporate Center** | 60/61, East Mangalwar Peth, Solapur 413002<br>PhoneNo:09423535690<br>mahavirbnk@gmail.com |
| **Date of Establishment** | 07 April 1997 |
| **No & Date of RBI License** | UBD/MAH/480P.Date 4/10/1997 |
| **Area of Operation** | Solapur District & Pune District |
| **Headquarter** | Solapur |



## 2.4 VISION AND MISSION

### Vision:

Shri Mahavir Cooperative Urban Bank Ltd., Solapur, envisions establishing itself as a leading cooperative financial institution dedicated to delivering superior banking services and fostering community development.

The bank's vision focuses on achieving excellence in customer service through innovative and efficient financial solutions that cater to the diverse needs of individuals and businesses.

It aims to support the economic growth of the region by promoting financial inclusion, assisting local enterprises, and contributing to the overall welfare of the community.

The bank strives to build strong, trust-based relationships with its customers while playing a significant role in the social and economic advancement of Solapur.

### Mission:

Shri Mahavir Cooperative Urban Bank Ltd., Solapur, is committed to providing high-quality, customer-focused financial services that meet the diverse needs of the community.

The bank's mission is to deliver a broad range of innovative and accessible banking products and services that support the financial well-being of individuals, businesses, and local institutions.

Through a foundation of integrity, transparency, and excellence, the bank seeks to empower its customers by offering personalized financial solutions, fostering economic growth, and contributing to the overall development of Solapur.

By focusing on operational efficiency, responsible lending practices, and community engagement, the bank aims to be a trusted partner in the economic advancement and social progress of the region.

## 2.5 PRODUCTS / SERVICESPROFILE

| 1 Deposit | 2 Loan | 3 Cards |
|---|---|---|
| Current Deposit Account<br>Saving Deposit Account<br>Fixed Deposit Account<br>Special Saving Schemes<br>Deposit | Home loan<br>Car loan<br>House furnishing loan<br>Personal loan<br>Rural loan | Debit card |

## Various Departments in the Organization:

Account Department

Credit Department

Loan Department

Security Department

Service Department

Interest Audit

Branch Officers

Regional Officers

## 2.6 MARKET SCENARIO

### Area of Operation-Global/National/Regional:

| Sr. No | Branch of Bank |
|---|---|
| 1 | Head Brand (Pradhankaryalay), Solapur |
| 2 | Bhudhawar Peth, Solapur |
| 3 | Market Yard Solapur |
| 4 | Akkalkot |
| 5 | Mangalwar Peth, Solapur |
| 6 | Dudhani |
| 7 | Ashok Chowk, Solapur |
| 8 | Barshi |
| 9 | Jule Solapur |
| 10 | Hotgi Solapur |
| 11 | Goldfinch Peth solapur |
| 12 | Vairag |
| 13 | Mandrup |
| 14 | Railway Line solapur |
| 15 | Pune Satara road |
| 16 | Hadpsar Pune |
| 17 | Latur |
| 18 | Udgir |

## 2.7 COMPETITORS INFORMATION

Laxmi Co-operative Bank

The Solapur District Central Co. Op Bank Ltd

Cosmos Co-Operative Bank Ltd

Mahesh Urban Cooperative Bank

Solapur Urban Cooperative Bank Ltd

Maharashtra State Cooperative Bank Ltd.

Maharashtra State Cooperative Bank Ltd.

Lokalmangal Urban Co-operative Bank

## 2.8 ACHIVEMENTS AND AWARDS

| Sr.No | Years | Awards |
|---|---|---|
| 1 | 2016 | Sahyadri arth Ratan Award |
| 2 | 2017 | 0% NPA |
| 3 | 2018 | Banking Frontiers award |
| 4 | 2018-19 | Excellance Award |
| 5 | 2019 | Eminence Award |
| 6 | 2019 | Best Chairman Award |
| 7 | 2019 | Financially Competant Bank Award |
| 8 | 2021 | Ideal Bank Award |
| 9 | 2021 | Banco Blue Bibbon Award by National Level Bank |
| 10 | 2023 | Banco Ribbon Award |

# CHAPTER 3

# THEORETICAL BACKGROUND

## 3.1 REVIEW LITERATURE

1. **Joshi and Ghosh (2012)** examined working capital management of Indian Pharmaceutical company namely, Cipla Lid. during the period 2004-05 to 2008-09 based on secondary data to unlock working capital trend growth rate during the study period and its impact on profitability. The researcher in the study used financial ratios and statistical techniques such as MOTAAL test and Spearman's Rank co-relation to attain the objectives of the study. The study found that the selected company maintained excess liquidity during the period under study and there existed a negative relationship between liquidity and profitability Cipla Lid. The researcher suggested that there was a need for further improvement in both the working capital turnover ratio and current assets turnover ratio for maintaining liquidity efficiently.

2. **Bhunia and Das (2012)** examined the relationship between working capital management and profitability by taking a sample of 50 small & medium size Indian private steel companies. The study used various financial ratios and statistical techniques, Karl Pearson Correlation test to confirm a low degree of association between liquidity and profitability, they observed a strong relationship between working capital management including working capital cycle and profitability of steel comparing.

3. **Sharma (2013)** conducted a study to find out the relationship between working capital management efficiency and profitability in Steel Authority of India Limited & TISCO. The objective of her study was to investigate the impact of working capital management on corporate profitability. She measured the working capital efficiency by various financial ratios- current assets to total assets, current assets to fixed assets, and working capital to sales. Pearson correlation used in her study identified a negative relationship between working

capital management and profitability. The study revealed that liquidity position and profitability can be improved by maintaining a suitable ratio.

4. **Makori and Jagongo (2013)** conducted the study on the relationship between working capital management and profitability of manufacturing and construction firms in Kenya taking a sample of 10 firms listed in Nairobi Securities Exchange, Kenya. Average Collection Period, Inventory Conversion Period and Cash Conversion Cycle were taken as independent variables and Return on Assets as dependent variable in the study. T establish a relationship between the two, multiple regression analysis and Pearson correlation analysis had been employed. The authors observed a negative association between return on assets and average collection period and cash conversion cycle. The study also found a positive impact of average payment period, firm size, and sale growth on the profitability. The authors suggested that firms could create shareholders value by effective and efficient utilization of working capital.

5. **Singh (2013)** evaluated trends in working capital management in Tata Steel Ltd. during the period from 2008-09 to 2012-13. To analyse the overall working capital management in the selected unit various financial ratios as current ratio, quick ratio, inventory turnover ratio had been used to find that current liabilities of the selected unit increased during the study period that resulted in poor financial position. The author recommended that the executives could improve and control the components of working capital (inventory in days, account receivable in days, accounts payable) more efficiently that might have improved the profitability

## 3.2 CONCEPTUAL FRAMEWORK

### 3.2.1 Meaning of Working Capital:

Working capital reflects the efficiency of a company's operational cash flow management. It is the difference between current assets and current liabilities and serves as a measure of how effectively a company is managing its short-term financial position. Positive working capital indicates that a company has enough assets to meet its short-term obligations and sustain operations, while negative working capital suggests potential difficulties in maintaining cash flow and financial stability. Efficient management of working capital ensures that a company can handle everyday expenses, invest in opportunities, and respond to financial challenges effectively.

### Definition of Working Capital:

Working Capital is a critical financial metric that measures the difference between a company's current assets and current liabilities, reflecting its ability to manage day-to-day operations and meet short-term financial obligations. It is calculated as:

### Working Capital=Current Assets−Current Liabilities:

This measure indicates the amount of funds available to a company for its everyday operations after accounting for its short-term debts. Positive working capital suggests that a company has more short-term assets than short-term liabilities, which supports smooth operational functioning, financial stability, and the potential for growth and investment. Conversely, negative working capital indicates that a company may struggle to meet its short-term financial commitments, potentially leading to liquidity issues and operational challenges.

### Working Capital Management:

Working Capital Management is the strategic process of managing a company's current assets and current liabilities to ensure sufficient liquidity for day-to-day operations, achieve optimal operational efficiency, and maximize profitability. It involves

overseeing cash flow, accounts receivable, inventory levels, and accounts payable to balance short-term financial obligations with long-term growth objectives, ensuring that the company can meet its immediate financial needs while supporting sustainable business success.

### 3.2.2 Types of Working Capital:

### 1. Gross Working Capital -

**Gross Working Capital** is the total amount of a company's current assets used to finance its daily business operations. It provides a measure of the overall resources available for the day-to-day functioning of the business.

**Gross Working Capital** is the total amount of a company's current assets used to finance its daily business operations. It provides a measure of the overall resources available for the day-to-day functioning of the business.

**Example:**

If an Indian company has ₹12,00,00 in cash, ₹18,00,000 in receivables, ₹22,00,000 in inventory, and ₹2,00,000 in prepaid expenses, the gross working capital would be: Gross Working Capital=₹12,00,000+₹18,00,000+₹22,00,000+₹2,00,000=₹54,00,000

### 2. Net Working Capital-

Net Working Capital is the difference between current assets and current liabilities. It measures a company's short-term financial health and ability to cover its short-term obligations.

This type of working capital assesses whether a company has sufficient short-term assets to cover its short-term liabilities. It is a key indicator of liquidity and operational efficiency.

**Example:**

If a company has ₹5,00,000 in current assets and ₹3,00,000 in current liabilities, the net working capital is ₹2,00,000.

## 3. Permanent Working Capital -

Permanent Working Capital is the minimum amount of working capital required to support a company's operations throughout its business cycle. This type of working capital ensures that the business has enough resources to sustain its operations even during off-peak periods.

**Example:**

For a textile manufacturer, a constant amount of ₹5,00,000 in working capital might be necessary to keep production operations ongoing.Permanent working capital is of two types: regular working capital and reserve margin working capital.

### A) Regular Working Capital -

**Regular Working Capital** refers to the standard amount of working capital required for the normal operating cycle of a business.

Regular Working Capital is essential for managing the usual operational activities of the business without any significant fluctuations.

**Example:**

For a manufacturing company, regular working capital might include the typical amount of ₹8,00,000 for inventory and receivables necessary to keep the production process ongoing.

**B) Reserve working capital -**

It is a type of fund that the business needs to maintain above the working capital needed. These funds are used by the business as a contingency for any unexpected situation. These are short-term financial funds that business needs.

**Example:**

**ABC Industries** has a working capital of ₹20,00,000 and maintains a 10% reserve margin, setting aside ₹2,00,000 as reserve working capital for unforeseen expenses.

## 4. Variable Working Capital -

It is the additional type of working capital kept for meeting the fund requirement during the peak seasonal demand of the year. Businesses borrow funds to meet increased capital requirements. It is the temporary increase in working capital that is only applicable for businesses that are impacted by seasons.

This capital is the difference between networking and permanent working capital. Here, the business earnings are not similar to the salary earnings of employees. Due to the shorter duration during which a business can earn money, such professionals leverage the season.

### 3.2.3 Factors Affecting Working Capital Requirement :

1. **Business Size:** Larger businesses with extensive operations need more working capital due to higher inventory and receivables. They also benefit from better bargaining power and potentially more favorable terms with suppliers and customers.
2. **Operating Cycle Length**: The operating cycle, or cash conversion cycle, measures the time it takes to turn inventory into cash. A longer cycle means more working capital is required to cover the extended period before cash inflows are realized. Conversely, a shorter cycle reduces the need for working capital.
3. **Seasonality**: Businesses with seasonal sales experience fluctuations in demand, requiring more working capital during peak periods to manage increased inventory and operational costs. During off-seasons, the working capital requirement decreases.
4. **Scale of Operations**: Larger companies with higher sales volumes and production capacities need more working capital to support their greater inventory and receivables. Smaller companies, with limited production and sales, typically have lower working capital needs.
5. **Business Sales**: Higher sales volumes increase the need for working capital as businesses need to maintain larger inventories and manage greater cash flow. Adequate working capital ensures that businesses can handle increased demand.
6. **Technology and Production Cycle**: The type of production technology impacts working capital needs. Labor-intensive processes require more working capital for wages, while machine-intensive processes generally need less. Additionally, a longer production cycle means more working capital is tied up in raw materials and work-in-progress, while a shorter cycle reduces the working capital requirement.
7. **Inventory Management**: Effective inventory management affects working capital. Maintaining large inventories ties up capital, while strategies like Just In Time (JIT) inventory reduce the need for working capital by minimizing stock levels and associated costs.

8. **Collection Cycle**: The time taken to collect receivables impacts working capital. A longer collection cycle ties up funds and increases working capital needs, while a shorter collection cycle improves cash flow and reduces working capital requirements.
9. **Credit Availability**: The terms and timing of credit from supplier's influence working capital. Longer credit terms from suppliers can ease working capital needs, while short-term liabilities or existing loans increase working capital requirements due to repayment obligations.
10. **Inflation**: Rising costs due to inflation, such as higher raw material and labour expenses, increase working capital needs. If a company can raise product prices accordingly, it can offset these higher costs and mitigate the impact on working capital.
11. **Competition**: In highly competitive markets, businesses may need to offer liberal credit terms and maintain large inventories, increasing working capital requirements. Conversely, less competition or monopoly positions allow businesses to operate with less working capital by setting more favorable terms for themselves.

### 3.2.4 Working Capital Ratios:

**1 . Current Ratio**:

- **Formula**: Current Assets / Current Liabilities
- **Description**: Measures a company's ability to pay its short-term liabilities with its short-term assets. A ratio greater than 1 indicates that the company has more assets than liabilities, which is generally positive.

**2 . Quick Ratio (Acid-Test Ratio)**:

- **Formula**: (Current Assets - Inventory) / Current Liabilities
- **Description**: Provides a stricter measure of liquidity by excluding inventory from current assets, as inventory might not be as quickly convertible to cash. A quick ratio of 1 or more is often considered a good sign.

**3 . Cash Ratio**:

- **Formula**: Cash and Cash Equivalents / Current Liabilities
- **Description**: Assesses a company's ability to pay off its short-term liabilities with its most liquid assets—cash and cash equivalents. This is the most conservative liquidity ratio.

**4 . Working Capital**:

- **Formula**: Current Assets - Current Liabilities
- **Description**: Represents the absolute amount of available short-term assets over short-term liabilities. Positive working capital indicates a company can cover its short-term obligations.

**5. Working Capital Turnover Ratio**:

- **Formula**: Net Sales / Average Working Capital
- **Description**: Measures how efficiently a company is using its working capital to generate sales. Higher ratios indicate better efficiency.

**6 . Days Sales Outstanding (DSO)**:

- **Formula**: (Accounts Receivable / Net Sales) × 365
- **Description**: Indicates the average number of days it takes to collect payment after a sale. Lower DSO means faster collections.

**7**. **Days Inventory Outstanding (DIO)**:

- **Formula**: (Average Inventory / Cost of Goods Sold) × 365
- **Description**: Shows how many days on average it takes for a company to sell its inventory. Lower DIO suggests faster inventory turnover.

**8 . Days Payable Outstanding (DPO)**:

- **Formula**: (Accounts Payable / Cost of Goods Sold) × 365
- **Description**: Reflects the average number of days it takes for a company to pay its suppliers. Higher DPO can indicate better cash management.

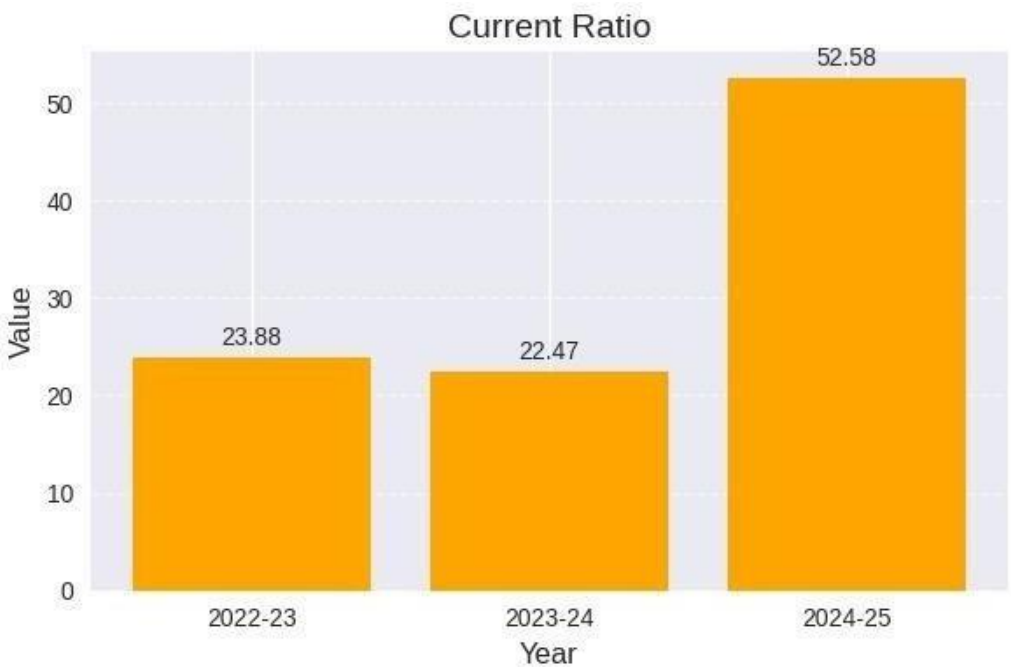
# CHAPTER 4

# DATA ANALYSIS AND INTERPRETATION

## 4.1 CURRENT RATIO :

**Current Ratio = Current Assets / Current Liabilities**

| Year | Current Assets | Current Liabilities | Current Ratio |
|---|---|---|---|
| 2022-23 | 2494510775 | 104478484 | 23.87583 |
| 2023-24 | 2539818778 | 113046348 | 22.46705 |
| 2024-25 | 6240489042 | 118671914 | 52.58606 |



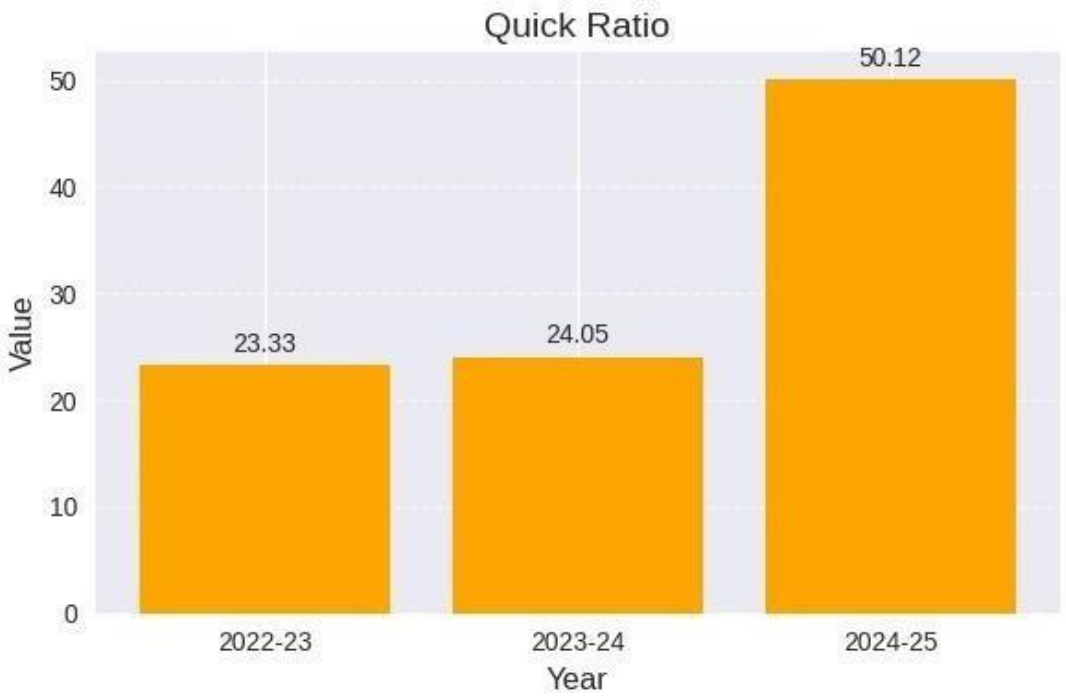

## INTERPRETATION:

It was 23.876 in 2022–23 and slightly decreased to 22.467 in 2023–24, but then rose sharply to 52.58 in 2024–25, showing that the company's ability to cover short-term liabilities with current assets became extremely strong in the final year. This sharp rise may reflect a significant increase in current assets or a reduction in current liabilities.

## 4.2 QUICK RATIO :

**Quick Ratio = Current Asset – Investments / Current Liabilities**

| Year | Quick Assets | Current Liabilities | Quick Ratio |
|---|---|---|---|
| 2022-23 | 24374314 | 104478484 | 23.32951 |
| 2023-24 | 27189789 | 113046348 | 24.05189 |
| 2024-25 | 5946729961 | 118671914 | 50.11067 |



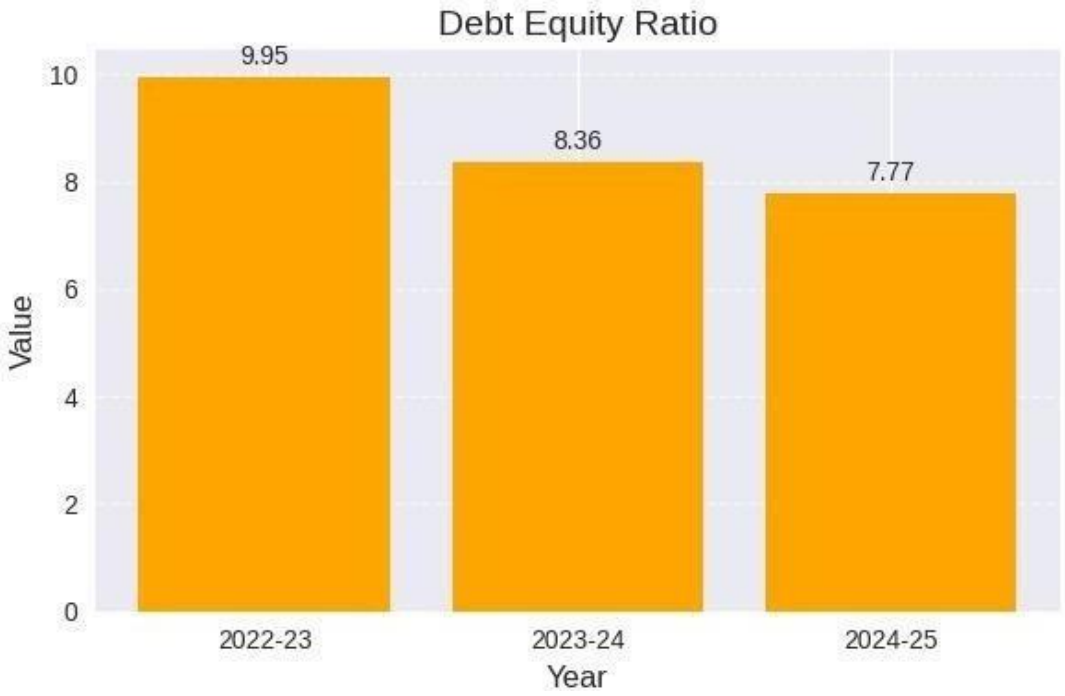

### INTERPRETATION:

It increased from 23.32951 in 2022–23 to 24.05189 in 2023–24, and then jumped significantly to 50.12 in 2024–25, indicating a large rise in liquid assets compared to current liabilities. This suggests enhanced liquidity without relying on inventory.

## 4.3 DEBT EQUITY RATIO :

**Debt Equity Ratio = Total Debts / Total Equity**

| Year | Total Debts | Total Equity | Debt Equity Ratio |
|---|---|---|---|
| 2022-23 | 4544330242 | 456837800 | 9.94736 |
| 2023-24 | 4851274745 | 580433862 | 8.35801 |
| 2024-25 | 5032850992 | 647638050 | 7.77108 |



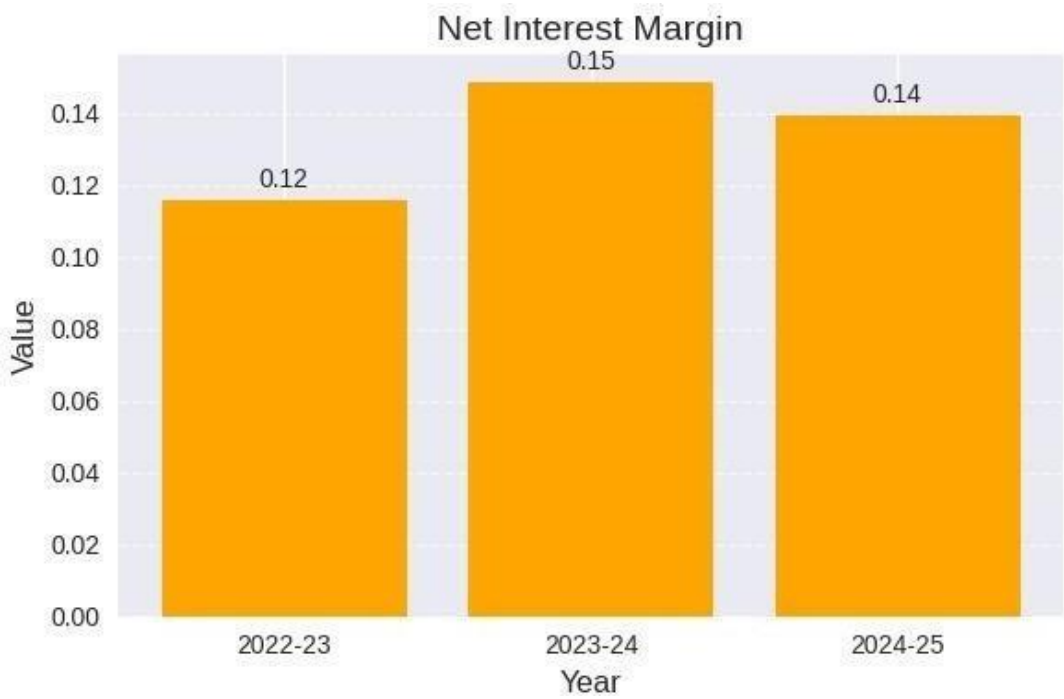

### INTERPRETATION:

The company's Debt-Equity ratio has improved significantly from 9.95 in 2022-23 to 7.77 in 2024-25, showing a clear reduction in financial risk. This positive trend reflects much faster growth in equity (around 42%) compared to a modest rise in debt (about 11%), resulting in a stronger and healthier balance sheet.

## 4.4 NET INTEREST MARGIN :

**Net Interest Margin = Net Interest Income / Average interest Earning loans**

| Year | Net Int. income | Avg. Int. Earing Loans | Net Int. Margin |
|---|---|---|---|
| 2022-23 | 216232706 | 1868388604 | 0.11573 |
| 2023-24 | 281328041 | 1891795823 | 0.14870 |
| 2024-25 | 537218186 | 3857447459 | 0.13926 |



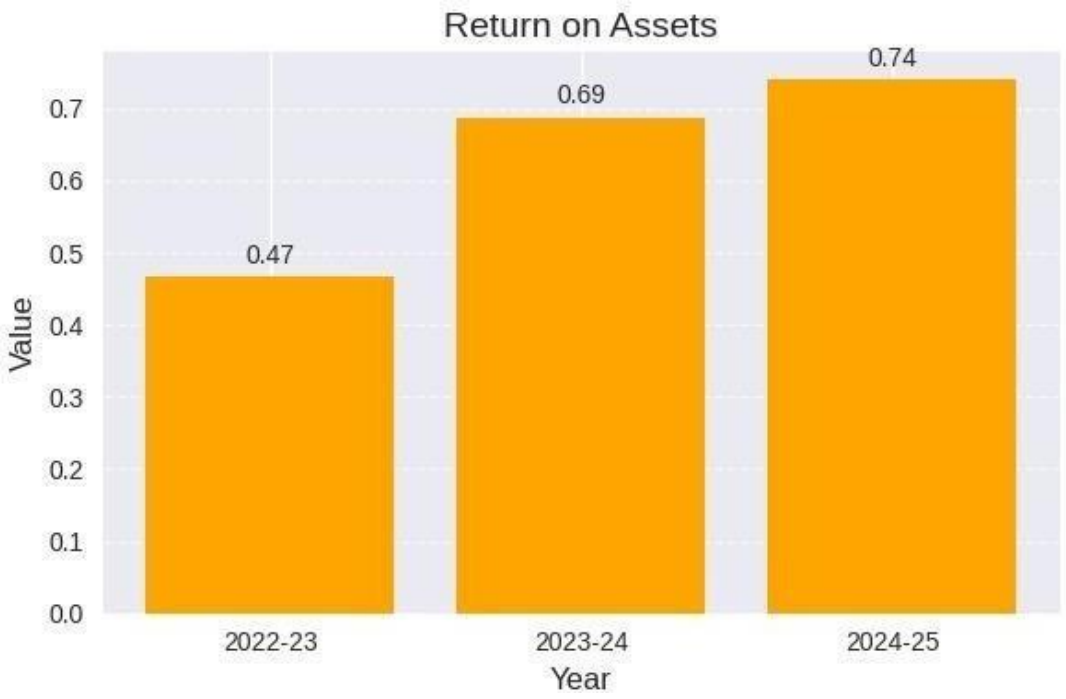

### INTERPRETATION:

It improved from 0.11573 in 2022–23 to 0.14870 in 2023–24, but slightly dropped to 0.13926 in 2024–25, showing better income from lending activities overall, with a small dip in the last year. The minor decline may indicate increased funding costs or tighter spreads.

## 4.5 RETURN ON ASSET :

**Return on Asset = Net Profit / Total Asset**

| Year | Net Profit | Total Assets | Return On Assets |
|---|---|---|---|
| 2022-23 | 24911016 | 5346790419 | 0.47% |
| 2023-24 | 40371760 | 5866454942 | 0.69% |
| 2024-25 | 46263512 | 6240489042 | 0.74% |



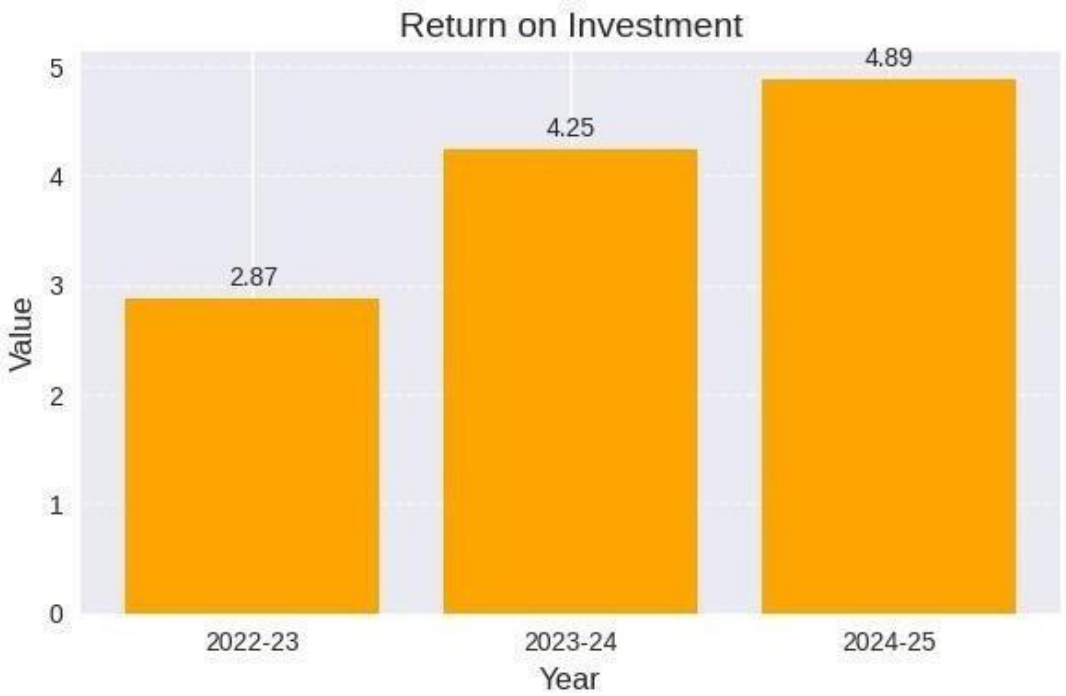

## INTERPRETATION:

It increased each year, starting from 0.47% in 2022–23, rising to 0.69% in 2023–24, and reaching 0.74% in 2024–25, which reflects better use of total assets to generate profit. This consistent growth shows improved operational efficiency.

## 4.6 RETURN ON INVESTMENT :

**Return on Investment = Net Profit / Investment**

| Year | Net Profit | Investment | Return on Invest. |
|---|---|---|---|
| 2022-23 | 24911016 | 866872754 | 2.87366 |
| 2023-24 | 40371760 | 950899049 | 4.24564 |
| 2024-25 | 46263512 | 946729961 | 4.88666 |



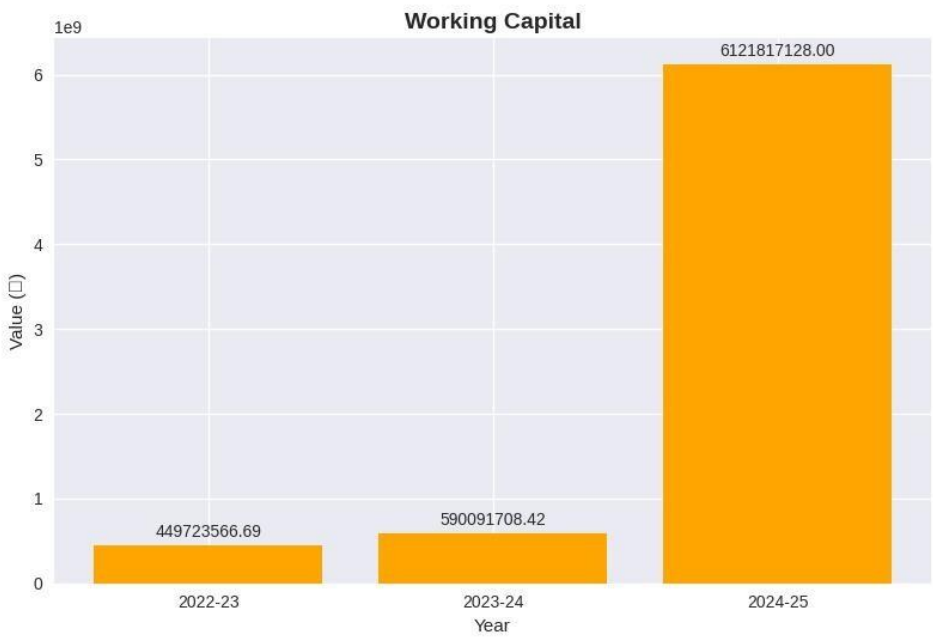

## INTERPRETATION:

It grew from 2.87366 in 2022–23 to 4.24564 in 2023–24 and then to 4.88666 in 2024–25, showing that the company's investments were becoming more profitable year by year. This indicates strong capital allocation and returns.

## 4.7 WORKING CAPITAL RATIO :

**Working Capital Ratio = Current Asset – Current Liabilities**

| Year | Current Assets | Current Liabilities | Working Capital |
|---|---|---|---|
| 2022-23 | 5098532293.99 | 4648808726.3 | 449723566.69 |
| 2023-24 | 5554412802.37 | 4964321093.95 | 590091708.42 |
| 2024-25 | 6240489042 | 118671914 | 6121817128 |



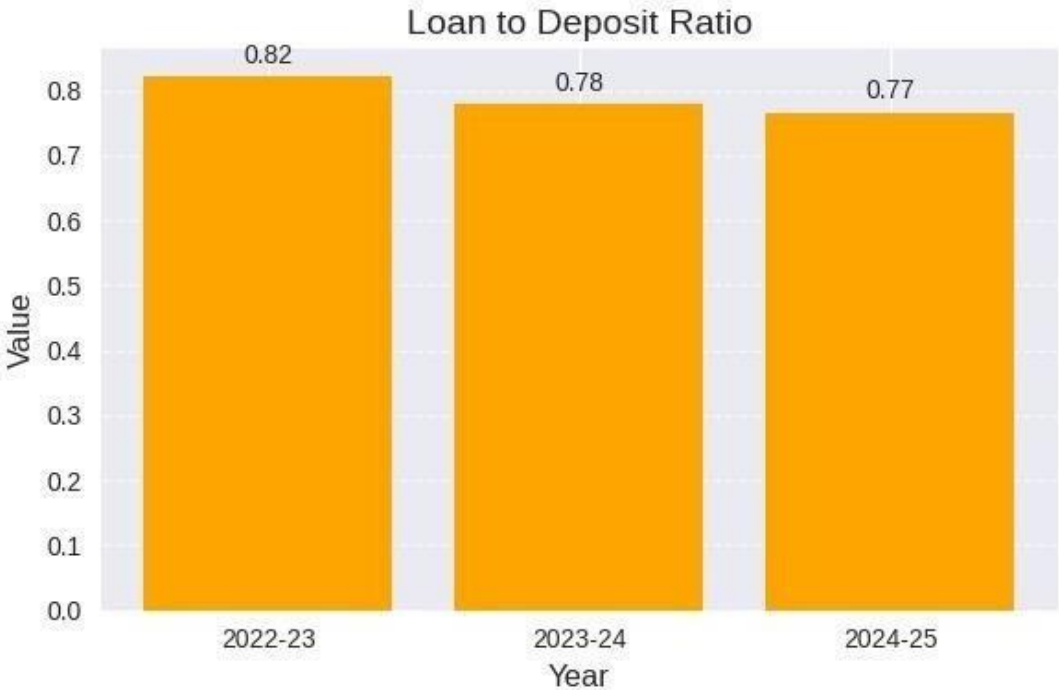

## INTERPRETATION:

It improved from ₹44,97,23,566.69 in 2022–23 to ₹59,00,91,708.42 in 2023–24, and then saw a massive increase to ₹6,12,18,17,128 in 2024–25, indicatving a strong rise in liquidity and operational strength. Such a surge may support future expansion or buffer against uncertainties.

## 4.8 LOAN TO DEPOSITS RATIO :

**Loan To Deposits Ratio = Total loan / Total Deposit**

| Year | Total loan | Total Deposit | Loan to Deposit Ratio |
|---|---|---|---|
| 2022-23 | 3736777208 | 4544330242 | 0.82229 |
| 2023-24 | 3783591645 | 4851274745 | 0.77991 |
| 2024-25 | 3857447459 | 5032850992 | 0.76645 |



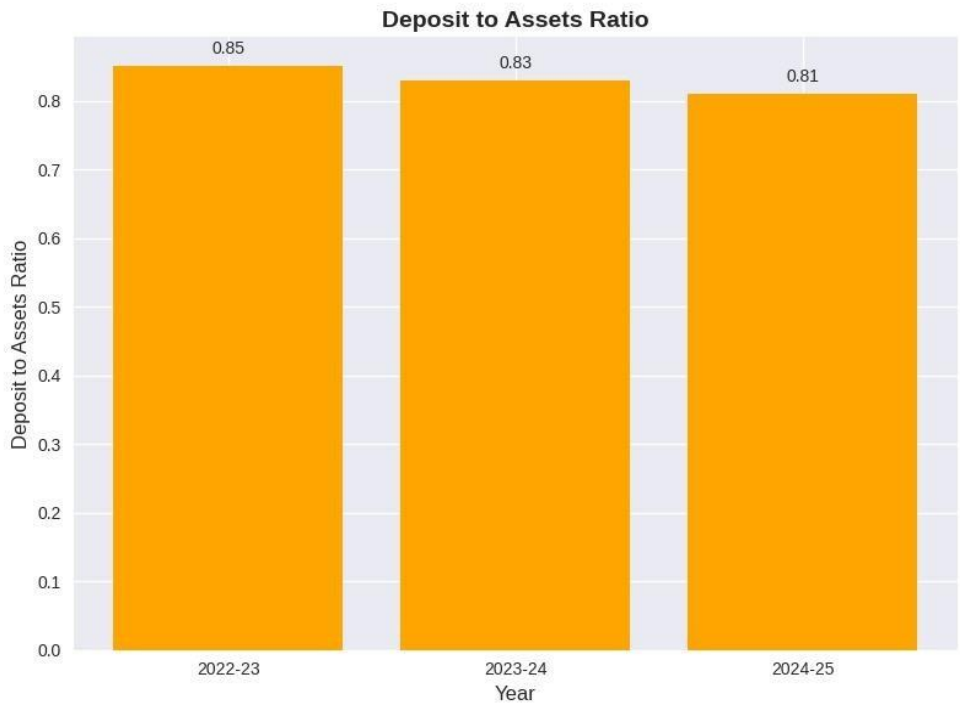

### INTERPRETATION:

It decreased gradually from 0.822294378 in 2022–23 to 0.779917 in 2023–24 and then to 0.766 in 2024–25, suggesting that the company became slightly more conservative in lending compared to the deposits it held. This reflects a more cautious credit strategy.

## 4.9 DEPOSIT TO ASSET RATIO :

**Deposit to Asset Ratio = Total Deposit / Total Asset**

| Year | Total Deposit | Total Assets | Deposit To Assets Ratio |
|---|---|---|---|
| 2022-23 | 4544330242.28 | 5346790418.90 | 0.84991 |
| 2023-24 | 4851274745.33 | 5866454941.90 | 0.82695 |
| 2024-25 | 5032850992 | 6240489042 | 0.80648 |



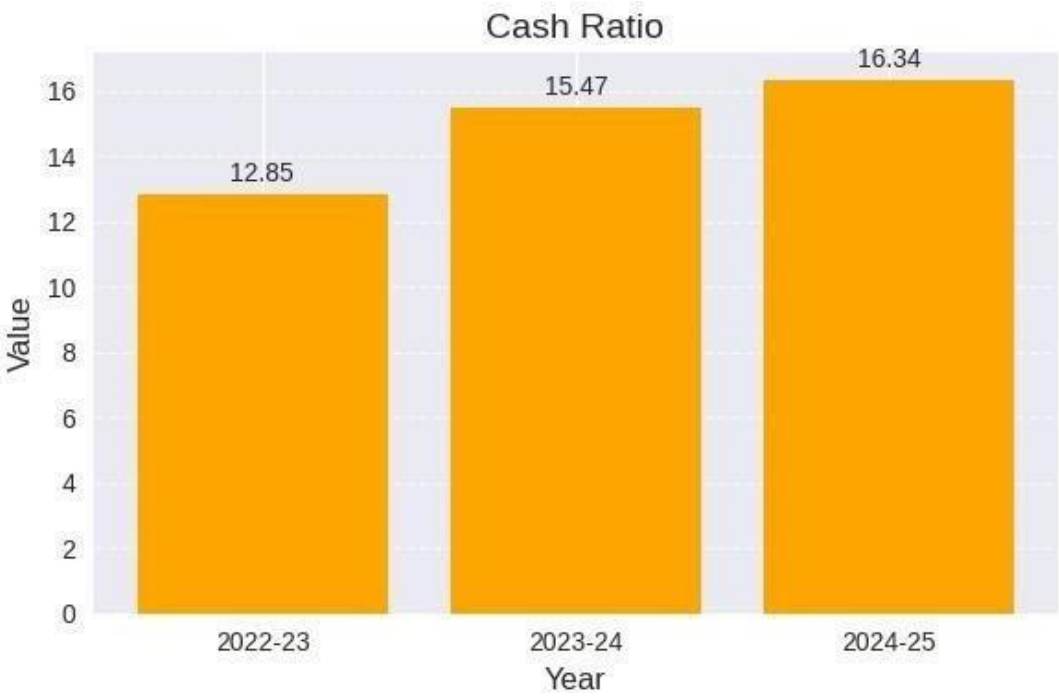

## INTERPRETATION:

It declined over time, from 0.84991 in 2022–23 to 0.82695 in 2023–24 and then to 0.80648 in 2024–25, meaning deposits made up a slightly smaller portion of total assets each year. This could imply diversification in funding sources.

## 4.10 CASH RATIO :

**Cash Ratio = Cash Balance + Current Investment / Current liabilities**

| Year | Cash & Bank Bal. + Current Investment | Current Liabilities | Cash Ratio |
|---|---|---|---|
| 2022-23 | 1342560480 | 104478484 | 12.85011 |
| 2023-24 | 1748737861 | 113046348 | 15.46921 |
| 2024-25 | 1939214755 | 118671914 | 16.34097 |



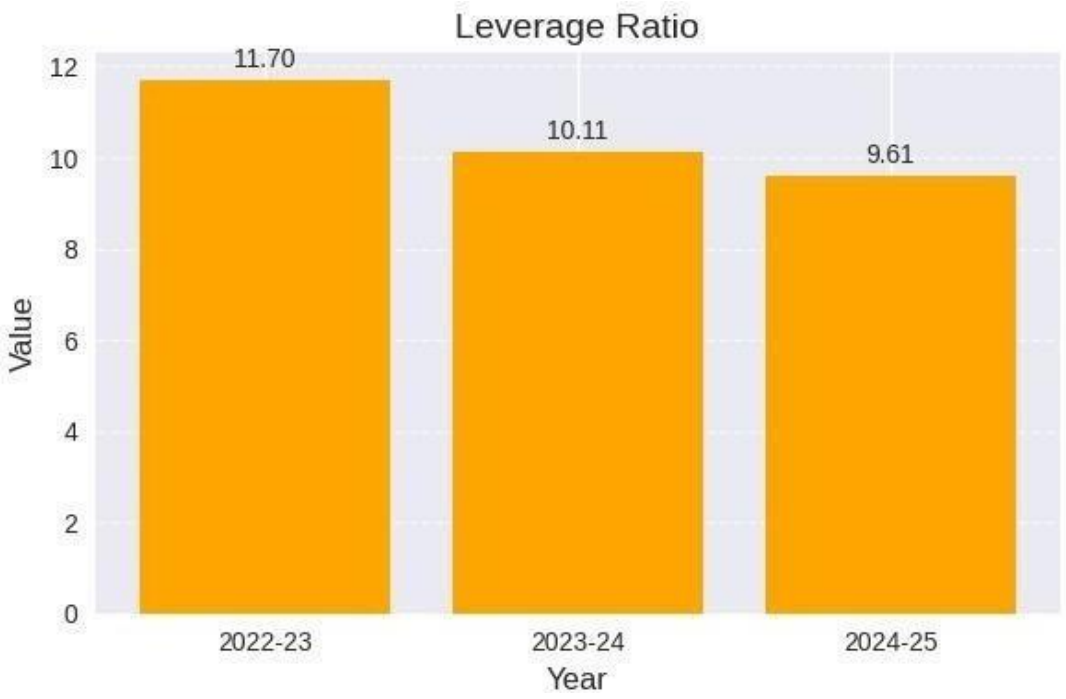

### INTERPRETATION:

It increased from 12.85011 in 2022–23 to 15.46921 in 2023–24 and further to 16.34 in 2024–25, showing that the company held more cash and near-cash assets to meet its short-term obligations. This enhances the firm's ability to handle liquidity shocks.

## 4.11 LEVERAGE RATIO :

**Reverage Ratio = Asset / Net worth**

| Year | Assets | Net Worth | Leverage Ratio |
|---|---|---|---|
| 2022-23 | 51219956 | 4377054 | 11.70391 |
| 2023-24 | 52789347 | 5221731 | 10.10701 |
| 2024-25 | 6240489042 | 649702430 | 9.60514 |




## INTERPRETATION:

It decreased from 11.70391 in 2022–23 to 10.10701 in 2023–24 and then to 9.60514 in 2024–25, which indicates a steady improvement in the company's financial structure by reducing its reliance on borrowed funds. Lower leverage also reduces financial risk and interest burden.

# CHAPTER 5

# FINDINGS

- The quick ratio also increased every year, reaching 50.12 in 2024–25. This means the bank can easily pay its short-term liabilities even without selling inventory.

- The debt-equity ratio kept decreasing from 9.95 to 7.77, meaning the bank is using less borrowed money and its financial position is becoming stronger.

- The net interest margin improved from 2022–23 to 2023–24 but dipped a little in 2024–25. Overall, the bank earned better interest spreads across the years.

- The return on assets (ROA) improved each year, showing the bank is using its assets more efficiently to generate profit.

- The return on investment (ROI) also increased steadily, meaning the bank is earning better returns on the money it invests.

- Working capital rose sharply from ₹44.97 crore to over ₹612 crore, showing a big improvement in liquidity and operational capacity.

- The credit-deposit ratio slowly decreased, which shows the bank adopted a safer and more cautious lending strategy.

- The deposits-to-total-assets ratio fell slightly each year, indicating the bank is slowly shifting to more diversified sources of funds.

- The cash and cash equivalents to current liabilities ratio improved every year, meaning the bank has more ready cash to handle any sudden financial needs.

- The total debt to total assets ratio decreased, showing the bank is relying less on debt and has lower financial risk overall.

# CHAPTER 6
# CONCLUSION

The working capital position of Mahavir Urban Co-operative Bank Ltd. shows improvement over time, as indicated by a rising current ratio — reflecting increasing current assets relative to current liabilities. This suggests enhanced liquidity and capacity to meet short-term obligations.

Along with liquidity improvement, profitability metrics (such as net profit and return on assets) also improved — indicating that the bank's operations became more efficient and financially healthier in the period under study.

The bank's long-term liabilities relative to equity remain at manageable levels, implying that the bank is not overburdened with long-term debt and is capable of meeting debt obligations without compromising financial stability.

Overall, the bank appears to maintain a sound balance between short-term liquidity (working capital) and long-term solvency. This balance supports ongoing operations and growth, and positions the bank to effectively handle both routine operations and potential financial stress.

# *Annexure*

## FINANCIAL STATEMENTS OF THE YEAR 2022-2025

## BALANCE SHEET OF YEAR 2022-23

| Liabilities | Rs. | Assets | Rs. |
|---|---|---|---|
| Share Capital | 163530025 | Cash in Hand | 190702240 |
| Reserve & Surplus | 293307775 | Balance at Bank | 284985486 |
| Deposits | 4544330242 | Investment | 866872755 |
| Current Liabilities | 104478484 | Loans & Advances | 3736777209 |
| Contra items | 216232707 | Current & Other Assets | 24374314.4 |
| UPI Control A/c | 170 | Fixed Assets | 26845642.8 |
| Profit & Loss A/c | 24911016.3 | Contra items | 216232707 |
| | | Branch Adjustments | 65.05 |
| **Total** | **53,46,79,041.9** | **Total** | **53,46,79,041.9** |

## BALANCE SHEET OF YEAR 2023-24

| Liabilities | Rs. | Assets | Rs. |
|---|---|---|---|
| Share Capital | 176779925 | Cash in Hand | 231868147 |
| Reserve & Surplus | 403653936 | Balance at Bank | 565970665 |
| Deposits | 4851274745 | Investment | 950899049 |
| Current Liabilities | 113046348 | Loans & Advances | 3783591645 |
| Contra items | 281328041 | Current & Other Assets | 27189787 |
| UPI Control A/c | 184 | Fixed Assets | 25599560 |
| Profit & Loss A/c | 40371760 | Contra items | 281328041 |
| | | Branch Adjustments | 8045 |
| **Total** | **5,86,64,54,939** | **Total** | **5,86,64,54,939** |

# BALANCE SHEET OF YEAR 2024-25

| **Liabilities** | **Rs.** | **Assets** | **Rs.** |
|---|---|---|---|
| Share Capital | 17,67,79,925 | Cash in Hand | 29,11,81,488 |
| Reserve & Surplus | 4,04,65,393 | Balance at Bank | 69,13,03,306 |
| Deposits | 48,51,27,474 | Investment | 94,67,29,961 |
| Current Liabilities | 11,86,71,914 | Loans & Advances | 3,85,74,47,459 |
| Contra items | 3,93,00,193 | Current & Other Assets | 4,28,21,582 |
| UPI Control A/c | 185 | Fixed Assets | 35,61,100 |
| Profit & Loss A/c | 4,62,63,512 | Contra items | 3,93,00,193 |
| **Total** | **5,99,06,44,411** | **Total** | **5,99,06,44,411** |

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# *Company Profile*

# Chapter 3
# Theoretical Background

# Chapter 4

# Data Interpretation and Analysis

# *Chapter 5*

# *Findings*

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